

Paris Maligned III

A temperature check on the oil and gas sector's climate alignment, 10 years on from the Paris Agreement.

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About Carbon Tracker

The Carbon Tracker Initiative is a team of financial specialists making climate risk real in today's capital markets. Our research to date on unburnable carbon and stranded assets has started a new debate on how to align the financial system in the transition to a low-carbon economy.

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1 Key Findings

- **No oil and gas producer we assessed comes close to being Paris-aligned**, and some have regressed in the past year. No company performs well on more than one of our six key metrics.
- **Our analysis underscores doubts that the sector is able or willing to set itself on a pathway to align with the Paris Agreement goals.** Investors with climate mandates will need to question continued positions in these companies, while policymakers should consider what further policies are necessary to accelerate the energy transition. Mainstream investors, meanwhile, will find our metrics useful as **proxies for transition risk exposure**.
- **European listed companies fare best**, taking seven of the top 10 spots in our ranking table. Spain's Repsol ranks highest, in part for being **one of only two companies with plans to cut hydrocarbon production**. UK-based Harbour Energy, newly assessed this year, comes in second place.
- **Newly assessed state-owned national oil companies (NOCs) perform poorly.** Three of them, alongside US listed producer ConocoPhillips, take joint last position.
- **The scores for European producers bp, Eni, Equinor, Shell and TotalEnergies have all fallen since last year's assessment** as a result of increased, and longer-term, production targets. Companies planning to increase oil and gas production are in effect betting that the world will fail to meet the Paris Agreement goals.
- **US shale producer Ovintiv and Canadian oil sands firms have the least competitive, and thus least climate-compatible, potential project options.** Gulf state NOCs sit at the other end of the spectrum.
- **Companies' methane plans, included in our scoring for the first time this year, are typically more climate-aligned than their overall GHG targets.** However, there is still considerable room for improvement because **significant sources of methane emissions are overlooked**.

2 Executive Summary

This report assesses 30 of the largest Upstream oil and gas producers against six key metrics to evaluate their alignment with the Paris Agreement. The methodology considers:

1. **Investment options:** Compatibility of potential projects with temperature scenarios.
2. **Recent sanctions:** Alignment of newly approved projects with temperature scenarios.
3. **Production plans:** Expected production trends over time.
4. **Greenhouse gas emissions targets:** Scope and ambition of emissions reduction commitments.
5. **Methane emissions targets:** Companies' progress on reducing and accurately measuring methane emissions.
6. **Executive remuneration:** The extent to which compensation incentivises production growth.

Each company receives a score from 0 to 4 per metric, which are combined into an overall grade (A to H). This year's report involves an expanded company universe and the addition of a new methane-specific metric. The results, presented in Table 1, provide a clear picture of how far the sector remains from genuine Paris alignment.

Scant progress towards Paris alignment, with signs of backsliding

Bringing together the results from all six metrics, our analysis finds **all producers assessed remain far from Paris-aligned, with many moving in the wrong direction**. None receive higher than a D grade and none receive high scores (a 3 or 4) for more than one of the six metrics. While a small number of scores have improved marginally in the past year, overall there has been backsliding, particularly around oil and gas production plans.

Spanish-listed producer Repsol takes the top spot this year, kicking UK-headquartered major bp off its pedestal and down to an F grade, following the latter's decision to abandon its target to curb production. Four companies share the last position with an H grade: US major ConocoPhillips, alongside three newly added national oil companies (NOCs) – KPC, PEMEX, and Sonatrach.

CNOOC, a Chinese NOC, falls a grade this year as a result of the newly added methane metric, on which it scores poorly, as does US shale driller Coterra.

Europeans lead the pack, with Americans and NOCs trailing behind

Listed companies based in Europe fare best, securing seven of the top 10 places. US giant ExxonMobil sits near the bottom alongside ConocoPhillips as the two worst-performing investor-owned producers.

All of the six NOCs we added to our company universe this year perform poorly, almost exclusively scoring zero for three of our metrics: production plans, greenhouse gas emission targets and executive remuneration. This follows a broader trend among NOCs in general, though some exceptions exist: namely Norwegian majority state-owned producer Equinor, and to a lesser extent Saudi Aramco.

Two further additions to our universe produce contrasting results: UK-based Harbour does comparatively well while US shale driller Orintiv sits towards the bottom of the table.

A mixed picture, with no companies excelling across all metrics

Few producers show consistent strengths across the board. Some, like Suncor and Devon, do not appear to have approved major new projects recently, yet they remain misaligned in other areas. Occidental performs best on executive remuneration and PEMEX scores relatively well on production plans, but they fail across the remaining metrics. Repsol is the strongest performer overall but falls short on remuneration.

Recent LNG investments highlight long-term misalignment

A key finding of this report is the role of recently sanctioned liquefied natural gas (LNG) projects in further locking companies into misalignment. Many of the largest newly approved projects are capital-intensive LNG developments, which present a growing risk of economic stranding amid rising global LNG supply. While some companies may view LNG as a transition fuel, this analysis underscores that major LNG projects are incompatible with Paris-aligned pathways and increase long-term risk exposure.

Implications for investors and financial institutions

This assessment provides a reality check for investors, financial institutions, and policymakers seeking to gauge companies' real-world actions, beyond stated climate ambitions. Investors, particularly those with a climate mandate, should scrutinise whether companies are aligning their capital allocation with the energy transition, improving their emissions targets, and incentivising executives consistently. Investors purely concerned with financial risk and return should view the results of this analysis as an indicator of a producer's preparedness for the transition.

Despite some political and market headwinds, investor engagement on climate risk remains strong, particularly in Europe. Asset managers and financial institutions that claim Paris alignment must consider whether continued financing of misaligned companies is justified, particularly for those failing to strengthen their emissions targets over time.

Banks and insurers must reassess financing and underwriting decisions for firms failing to align with credible, independent energy and climate scenarios. Ultimately, financial institutions claiming Paris alignment must ensure their capital is not supporting companies locking in long-term climate misalignment.

TABLE 1. HOLISTIC ASSESSMENT OF OIL AND GAS PRODUCERS' CLIMATE ALIGNMENT

Company	Individual Unweighted Scores (all out of 4)						Overall Grade
	Investment Options	Recent Sanctions	Production Plans	GHG Targets	Methane Targets	Executive Remuneration	
Repsol	2	2	3	2	2	1	D
Harbour Energy	2	2	3	0	1	1	E
EQT	2	4*	1	0	2	2	E
Eni	2	1	0	3	2	1	E
Expand Energy	2	4*	1	0	2	1	F
Shell	2	2	0	1	2	2	F
TotalEnergies	2	1	0	2	2	1	F
bp	2	0	0	2	2	1	F
Equinor	2	1	0	1	2	2	F
CNRL	2	3	1	0	0	1	F
Cenovus	1	4*	1	0	1	1	F
Chevron	1	1	1	1	2	1	F
Occidental	0	1	1	1	2	3	F
Saudi Aramco	3	2	0	0	1	0	F
Suncor	0	4*	1	1	0	2	F
Devon Energy	1	4*	1	0	0	1	G
PetroChina	2	1	1	0	1	0	G
CNOOC	2	2	1	0	0	0	G
Coterra	2	0	1	0	1	1	G
EOG	2	1	1	0	0	1	G
ADNOC	2	2	0	0	2	0	G
Ovintiv	0	4*	1	0	1	1	G
Petronas	2	1	1	0	0	0	G
Petrobras	0	3	1	0	2	0	G
Qatar Energy	2	1	0	0	1	0	G
ExxonMobil	1	2	0	0	1	1	G
ConocoPhillips	0	2	0	0	2	1	H
KPC	2	0	0	0	0	0	H
Sonatrach	2	0	0	0	0	0	H
PEMEX	0	0	2	0	0	0	H
Weight	25%	10%	25%	20%	10%	10%	-

Sources: company reporting, CTI analysis, IEA, Rystad Energy.

Notes: we assess production plans as of 31/3/25, GHG and methane emissions targets as of October 2024, OGMP 2.0 methane measurement assessments as of November 2024, and remuneration policies for 2023. Rystad data as of September 2024. Companies graded from 0 (worst) to 4 (best) on each metric. * denotes companies for which no recent sanctions were identified, so were scored a 4. Companies ordered by combined score; those with the same score are ordered alphabetically. We do not currently assess the credibility of GHG emissions reduction in our methodology and therefore the top score is a 3. We note, however, significant shortcomings in the credibility of emissions reduction plans of higher-scoring companies related to the use of offsets, CCUS, and NBS, and the commercial viability of these. See Appendix for full methodology.

3 Introduction

The worsening impacts of climate change become more evident with each passing year, as temperature records are broken, wildfires blaze, and droughts wreak havoc on food systems. As the 10th anniversary of the Paris Agreement approaches, the goals enshrined in it are quickly slipping out of reach, with the 1.5°C temperature threshold at risk of being irreversibly breached.

While demand for fossil fuels – the primary driver of rising emissions – is on the verge of peaking as the energy transition progresses, the world is still heading for 2.4-3.1°C of warming, well above what scientists and governments have deemed safe.¹ To hold temperature rise to acceptable levels, there is a need for a rapid decline in fossil fuel use, and not simply a plateau followed by a gradual decline.

Despite headwinds, investor engagement on climate risk remains strong

There is no denying the backlash against climate action and the associated shift away from fossil fuels in some quarters, most notably across US politics and finance. Nevertheless, significant swathes of the investment community continue to take climate risk into account in both their stewardship activities with investee companies and in their screening process.

Many large asset owners, most notably in Europe, still have stringent expectations in this area and are willing to shun asset managers who they deem insufficiently climate-conscious.² In particular, those with long-dated liabilities such as pension funds cannot overlook the unavoidable impact of the energy transition on their wide-ranging investments.³ Some have simply opted to be less vocal about their climate-informed investing, a phenomenon that has been dubbed “greenhushing”. Money managers thus ignore corporates’ alignment with the Paris Agreement at their peril.

A multidimensional approach is needed to assess the oil and gas sector...

As companies that form part of a value chain producing vast quantities of greenhouse gas emissions, the alignment of the largest oil and gas producers is of significant interest to investors with a climate mandate. In order to provide a holistic picture of the extent to which a producer may be considered Paris-aligned, we believe multiple factors must be taken into account:

1. **Investment options:** the compatibility of a company’s portfolio of potential Upstream projects with different temperature scenarios.
2. **Recent sanctions:** the compatibility of a company’s recently approved (or “sanctioned”) projects with different temperature scenarios.
3. **Production plans:** the oil and gas volumes which a company is planning to produce in the short and long term.
4. **Greenhouse gas emissions targets:** the coverage and ambition of a company’s overall emissions reduction targets.

¹ International Energy Agency, [Executive Summary – World Energy Outlook 2024 – Analysis](#)
UN Environment Programme, [Emissions Gap Report 2024](#)

² Financial Times, [Top UK pension fund pulls £28bn from State Street over ESG retreat \(2025\)](#), [Long-term investors split with asset managers over climate risk \(2025\)](#)

³ UNEP Finance Initiative, [Universal Ownership – Why environmental externalities matter to institutional investors](#)

5. **Methane emissions targets:** the coverage and ambition of a company's methane-specific reduction targets, and its progress in directly measuring all its emissions.
6. **Executive remuneration:** the proportion of variable pay incentivising growth in oil and gas production.

...But companies' clean energy investments should not come into play

While much attention has been paid to oil and gas companies' attempts to scale up investment in non-fossil energy, such as wind and solar power, this does not feature in our analysis. There is no reason why oil and gas producers should necessarily seek to become renewables companies, since others may well be better placed to develop and deploy clean energy cost-effectively. Moreover, increasing investment in clean energy may not lead to a decline in a producer's overall emissions, as this is largely a function of their oil and gas production.

Our assessment is strategy-agnostic, so although recent decisions by European companies to increase new hydrocarbon developments affect their score, their cutting of green investment does not.⁴ While some observers may find these renewables rollbacks disappointing, it is important to bear in mind that the oil and gas sector accounted for a negligible proportion of global clean energy investment.⁵

The findings outlined below can be used by a range of stakeholders

Investors, banks and insurers with a climate mandate will find this analysis useful in their screening processes and to inform proxy voting. However, mainstream investors concerned solely with financial return will also gain insights, by viewing companies' scores as an indicator of transition risk exposure and preparedness for the energy transition. Finally, our findings can be used to support policymakers and civil society actors in holding corporations accountable, for instance over misleading advertising.

⁴ BBC, [Norwegian oil giant Equinor cuts green investment in half](#)

⁵ IEA, [Executive summary – The Oil and Gas Industry in Net Zero Transitions](#)

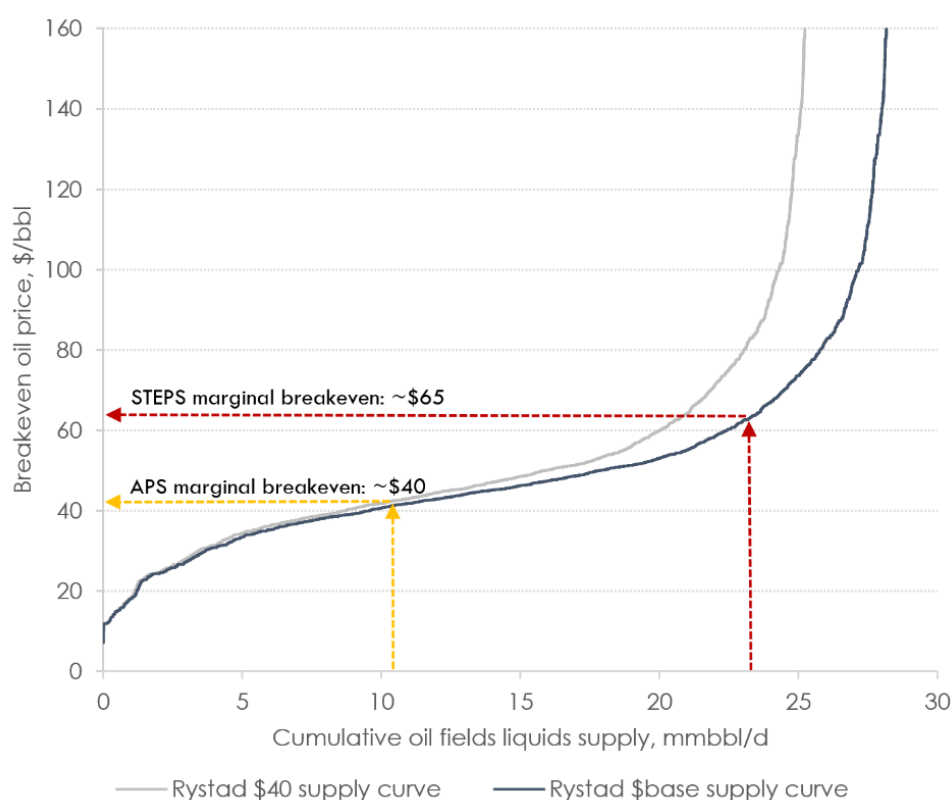
4 Assessing oil and gas sector climate alignment

As in last year's [Paris Maligned II](#), this note assesses companies against the metrics listed above on a scale from 0 to 4 to produce an overall weighted average score. From this, we assign a grade for each producer on a scale from A to H.

We use our least-cost modelling approach to assess the compatibility of companies' potential Upstream assets with oil and gas demand forecasts from the International Energy Agency's (IEA) energy scenarios. Using asset-level supply data from Rystad Energy, we build cost curves for global oil and regional gas markets to evaluate potential cumulative volumes that could meet remaining demand after accounting for volumes already committed from sanctioned assets.

Our model assumes demand is met first by lower-cost assets. As demand declines, higher breakeven assets are more likely to fail to meet hurdle rates and shut down early, before lower-cost projects (see Figure 1). For a detailed explanation of Carbon Tracker's modelling, refer to our [Oil and Gas Least-Cost Methodology](#). Descriptions of the IEA scenarios are provided in Box 1.

FIGURE 1. CUMULATIVE POTENTIAL OIL SUPPLY (2024 - 2040) FROM UNSANCTIONED OIL FIELDS



Sources: IEA, Rystad Energy, CTI Analysis. Notes: Breakeven prices assume a 15% IRR

For emissions targets and executive remuneration, we draw on analysis from our [Absolute Impact](#) and [Crude Intentions](#) series.

Our company universe consists of 30 of the largest producers, including 20 majority publicly traded or privately owned companies, 5 majority state-owned companies, and 5 wholly state-owned companies. Producers based in countries subject to international sanctions (Russia, Iran, Venezuela) are not assessed.

BOX 1. SUMMARY OF IEA SCENARIOS⁶

Slow transition (2.4°C) – The Stated Policies Scenario (STEPS): forecasts future demand where existing government policies are maintained but does not take into account pledges which have only been announced. In effect, it can be considered a continuation of the status quo - many oil and gas companies are effectively planning on this pathway.⁷ Under this scenario, oil demand peaks before 2030, and is associated with a temperature rise of 2.4°C in 2100. STEPS is a forecast scenario, contingent on the level of policy action.

Moderate transition (1.7°C) – The Announced Pledges Scenario (APS): forecasts a demand trajectory based on announced government targets, regardless of whether pledges are supported by the necessary policies. Under APS, renewables generate c. 50% of all electricity by 2030; oil demand peaks imminently and declines by ~6% by 2030; the emissions trajectory leads to 1.7°C of warming by 2100. APS is a forecast scenario, contingent on level of policy action.

Fast transition (1.5°C) – The Net Zero Emissions by 2050 Scenario (NZE): sets out what is required to achieve a 1.5 °C by 2100 warming outcome, which includes a 60% decrease in oil and gas demand by 2040. NZE is a normative scenario, laying out a pathway for the highest ambition under the Paris Agreement.

4.1 Changes since last year's analysis

We have expanded our company universe since last year, when 25 producers were assessed, to include more national oil companies (NOCs).

This year, we also added a standalone metric on methane emissions targets, as distinct from overall greenhouse gas emissions, to give greater prominence to this urgent challenge. We also expanded our company universe, with the addition of five wholly state-owned national oil companies (Qatar Energy, KPC, Sonatrach, PEMEX, Petronas), and majority state-owned ADNOC, as well as UK North Sea producer Harbour and US shale driller Ovintiv.

Additionally, several mergers have been completed in the past year, affecting the universe's composition. ExxonMobil completed its acquisition of Pioneer, Chesapeake acquired Southwestern to create Expand Energy, and Harbour acquired German producer Wintershall Dea's non-Russian assets. Chevron's acquisition of Hess is still pending. While the reasons behind this M&A activity vary, they do not necessarily have an impact on companies' climate alignment. The net result could be positive for the climate if companies divert earnings that might otherwise have been allocated to new Upstream projects, and simply steward existing assets to natural depletion. A negative outcome would result if the acquisition led to the company gaining new project options that would not have otherwise been developed. Thus, further analysis is needed in each case to determine the climate implications.

⁶ IEA, [World Energy Outlook 2024](#)

⁷ See [Carbon Tracker's Oil and Gas Company Profiles](#) for details on producers' choices of demand scenario for investment decision-making.

5 How companies perform against our metrics

We now examine each metric in detail to highlight key insights and distinctions between companies, before combining results in an overall ranking table.

5.1 Investment options

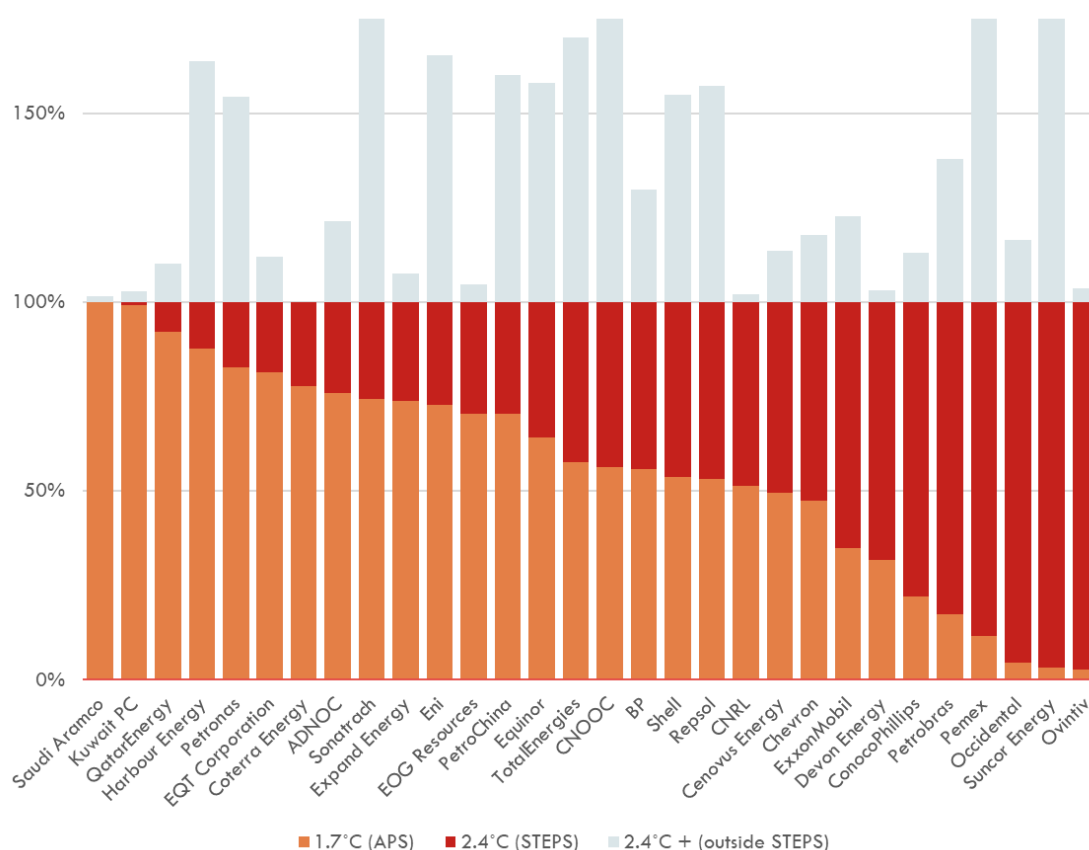
This metric examines each company's portfolio of potential new Upstream projects, and the extent to which these are compatible with different temperature scenarios, using the least-cost methodology described above.

Only one company scores well on investment options – Saudi Aramco with a 3 – thanks to its comparatively low-cost production. However, it should be noted that any new long-cycle production would be incompatible with a below-1.5°C scenario.

The project options of fellow Gulf producers are similarly more climate-compatible, relative to other companies, due to their low cost. European listed companies and Chinese NOCs fall largely in the middle. On the other end of the spectrum sit Canadian oil sands producers, most notably Suncor, alongside Brazil and Mexico's NOCs. US shale producer Oviniv has the least compatible options, scoring a zero, while fellow US producers vary widely.⁸ Investors should press companies on the compatibility of new Upstream developments with their stated climate ambitions.

The relative competitiveness of companies' project options is presented in Figure 2, with orange bars representing the proportion of potential investment compatible with a 1.7°C scenario, and red indicating incompatibility with this temperature outcome.

⁸ This is to some extent because the portfolios of US shale producers exhibit high sensitivity to our analysis, with projects clustering around the marginal breakeven price for compatibility with the APS (1.7°C) scenario.

FIGURE 2. COMPATIBILITY OF POTENTIAL NEW UPSTREAM PROJECTS WITH 1.7°C AND 2.4°C SCENARIOS

Sources: Rystad Energy, IEA, CTI Analysis

Notes: Future capex (2025-2030) on unsanctioned projects compatible with different scenarios, as a % of business-as-usual plans (STEPS). Ordered by % capex compatible with APS. Rystad data as of September 2024.

Portfolios also contain investment options that would be incompatible with even a 2.4°C scenario

Many producers have significant potential projects at their disposal that would be incompatible even with a 2.4°C scenario (light blue bars in Figure 2). This is particularly the case for European producers and some NOCs, as shown in Table 2 where some of the largest projects approaching FID are listed. While companies are less likely to approve these less competitive projects, they would be particularly misaligned if they choose to. Indeed, some companies are continuing to approve such projects – see Table 3 under the “Recent sanctions” section for examples, including the recently approved oil sands project Long Lake Northwest, operated by CNOOC Petroleum North America ULC. In the case of NOCs, these high-cost projects pose a significant risk to the public finances of their respective countries as the energy transition progresses.⁹

For details of companies’ announced capex plans, our [company profiles](#) provide this information where available for select producers.

⁹ We discuss the fiscal risks faced by such countries in our [Petrostates](#) series.

TABLE 2. 15 LARGEST PROJECTS APPROACHING FID IN 2025-2028 OUTSIDE OF A MODERATE TRANSITION SCENARIO (APS/1.7°C), WITH THOSE OUTSIDE A SLOW TRANSITION (STEPS/2.4°C) HIGHLIGHTED IN LIGHT BLUE

Asset	Country	Approval Year	2025 - 2030 Capex (\$Bn)	Production Start	Resource Theme	Operator
Tanzania LNG	Tanzania	2027	10	2032	LNG	Shell
QatarGas LNG T14	Qatar	2026	6	2030	LNG	QatarEnergy LNG
QatarGas LNG T15	Qatar	2026	6	2030	LNG	QatarEnergy LNG
Bonga SouthWest-Aparo Ph 1	Nigeria	2027	5.5	2030	Deep water, oil	Shell
Kayab	Mexico	2027	5.5	2029	Deep water, oil	Pemex
Bosi	Nigeria	2028	5.5	2032	Deep water, oil	ExxonMobil
Verus	Australia	2027	5	2031	Shelf, gas	Eni
Area 4 LNG Ph 1	Mozambique	2027	5	2032	LNG	ExxonMobil
Baleine Ph 3	Cote d'Ivoire	2025	4.5	2028	Deep water, oil	Eni
Owowo West	Nigeria	2027	4.5	2030	Deep water, oil	ExxonMobil
Bahr Es Salam	Libya	2026	4	2030	Deep water, gas	Mellitah Oil & Gas B.V
Tiber	US	2025	4	2029	Deep water, oil	BP
Marlim Sul/Leste Revitalization	Brazil	2026	4	2030	Deep water, oil	Petrobras
Kukulcan	Mexico	2027	4	2030	Shelf, oil	Pemex
Papua LNG T1-T4, PG	Papua New Guinea	2026	4	2029	LNG	TotalEnergies

Sources: Rystad Energy, IEA, CTI Analysis

Notes: largest projects ordered by approximate capex (2025-2030) where a final investment decision (FID) is expected in 2025-2028 that are considered incompatible with a 1.7°C scenario (APS). Projects incompatible with a 2.4°C scenario (STEPS) are highlighted in light blue. Capex is given to the nearest \$0.5Bn.

5.2 Recent sanctions

Building on the investment options metric, here we examine oil and gas projects approved by producers within the past two years to gauge how recent decisions align with different temperature outcomes. We score based on the proportion of project capex that would be economic under a Paris-aligned 1.7°C scenario, awarding the top score of 4 to companies that have approved no projects.¹⁰

¹⁰ It should be noted that since this is a relative measure, there will be cases where a producer may have approved only a small volume of new production but a large proportion of this is high-cost and therefore incompatible with the 1.7°C APS scenario, leading to a low score (as with Coterra) – or vice versa (as with Petrobras).

We find that few new developments have been proceeding in the high-cost Canadian oil sands, with Cenovus and Suncor both receiving a 4. This may be interpreted as a tacit acknowledgement of the energy transition and a reluctance to lock in long-cycle, high-capex projects, with a greater focus on optimising existing assets. While this is also the case with some US shale producers and may indicate a lack of competitiveness as the transition progresses, it is also partly reflective of the incremental, well-by-well nature of shale development, where the distinction between a “new project” and ongoing drilling activity is less clear-cut compared to conventional long-cycle projects.

The remaining companies are spread evenly across the scores, with no clear trends based on geography or producer type, beyond the finding that shale producers which have approved projects in recent years (EOG and Coterra) score poorly, reflecting high breakeven prices.

We find that many companies’ scores have fallen since last year, reflecting a shift towards less competitive (and thus climate-compatible) projects, a higher volume of new projects, and the shrinking space in the carbon budget for new production.

Major LNG projects are locking companies into long-term misalignment

Table 3 lists some of the largest capital projects recently sanctioned that fall outside the breakeven prices for APS in our analysis, with several also misaligned with STEPS. Many of these are LNG projects, highlighted in light blue, reflecting their high capital costs and heightened risk of stranding amid an impending LNG oversupply. Their inclusion potentially pushes other high-cost conventional projects – also incompatible with STEPS – out of our top 15 examples. We explore the risks associated with LNG investments in greater detail in our recent report, [Turning Tides](#).

This assessment of recent project sanctions provides investors with a reality check on how companies are allocating capital, beyond stated ambitions. It underscores the transition risk embedded in major investment decisions and highlights the lack of climate alignment that large-scale LNG projects bring to company portfolios.

TABLE 3. 15 LARGEST PROJECTS SANCTIONED IN 2023/4 THAT ARE OUTSIDE OF A MODERATE TRANSITION (APS/1.7°C), OR SLOW TRANSITION (STEPS/2.4°C) SCENARIO HIGHLIGHTED IN BLUE

Asset	Country	Approval Year	2023 to 2030 Capex (\$Bn)	Production Start	Resource Theme	Operator
Willow (GMT), US	United States	2023	7.5	2029	Onshore, oil	ConocoPhillips
Port Arthur LNG T1, US	United States	2023	7	2027	LNG	Sempra
Port Arthur LNG T2, US	United States	2023	7	2028	LNG	Sempra
Al Ruwais LNG T1-T2, AE	UAE	2024	6	2028	Onshore, gas	ADNOC LNG
Ruya (x-Gallaf 3-Batch 1), QA	Qatar	2024	5.5	2027	Shelf, oil	QatarEnergy/ TotalEnergies
Kaskida Phase 1 (KC292), US	United States	2024	5	2029	Ultra deepwater, oil	BP

Atapu (P-84), BR	Brazil	2024	5	2029	Ultra deepwater, oil	Petrobras
QatarGas T12 LNG, QA	Qatar	2023	5	2028	LNG	QatarEnergy LNG
QatarGas T13 LNG, QA	Qatar	2023	5	2028	LNG	QatarEnergy LNG
Sepia (P-85), BR	Brazil	2024	4	2029	Ultra deepwater, oil	Petrobras
Trion, MX	Mexico	2023	3	2028	Ultra deepwater, oil	Woodside
Long Lake Northwest, CA	Canada	2023	1.5	2024	Onshore, oil	CNOOC
Sparta (x-N Platte) (GB959), US	United States	2023	1.5	2028	Deep water, oil	Shell
Block 10 (Marsa LNG), OM	Oman	2024	1.5	2028	LNG	TotalEnergies
Mako, GY	United States	2023	1.5	2027	Ultra deepwater, oil	ExxonMobil

Sources: Rystad Energy, IEA, CTI Analysis

Notes: largest projects ordered by capex (2023-2030) where a final investment decision (FID) was made in 2023 or before September 2024, that are considered are considered incompatible with a 1.7°C scenario (APS). Projects incompatible with a 2.4°C scenario (STEPS) are highlighted in light blue. Capex given to the nearest \$0.5Bn.

5.3 Production plans

This metric analyses companies' stated production guidance and awards a score based on whether they are targeting an increase or decrease, or holding production stable. We also take into account whether the target is short- or long-term.

The picture is largely negative...

We find that almost **all producers are planning to increase oil and gas production in the coming years**, scoring mostly 1s or zeroes. Such growth plans are at odds with the Paris Agreement's 1.5°C target and many are incompatible with a below 2°C scenario, as discussed under the investment options metric. Investors with climate mandates will need to question continued positions in such companies.

The past year has also seen **backsliding, particularly from European listed companies**, which have increased or extended the horizon of their targets. bp loses all 3 of its points from last year, Equinor and Shell have fallen two points, while Eni and TotalEnergies each lose one point. US major ExxonMobil also loses a point due to the adoption of a longer-term growth target.

...But some more positive trends are visible

By contrast, Repsol's score has increased by one point since Paris Maligned II. PEMEX scores 2 for having a target to hold production steady. Repsol and Harbour are planning for production declines in the short or long term, thus scoring 3s. However, even in these cases, the reduction is modest: Repsol expects a 4% decline for the remainder of the decade, on a 2023 baseline, having recently revised its target upwards; Harbour expects production to be around 5% lower between 2025 and 2027 than when it acquired Wintershall Dea last year.

Some companies have slowed their targeted rate of increase, namely Chevron, CNOOC, ConocoPhillips, and EQT. It should also be noted that most production targets in our company universe are short-term, implying a certain degree of uncertainty about future demand. Moreover, Saudi Aramco's widely publicised decision to continue shutting in millions of barrels of production to shore up prices is an indicator that demand is weaker than some industry actors have been planning for.¹¹

¹¹ Reuters, [Saudi Arabia orders Aramco to lower oil capacity target](#)

TABLE 4. REPORTED PRODUCTION GUIDANCE (WITH % CHANGE VS 2023)

Company	Production Guidance / Target	Target Year	% change in production vs 2023 baseline
ADNOC	Increase crude oil production capacity to 5 Mbbbl/d, and produce an additional 1 bcf/d of gas	2027 (oil) 2030 (gas)	+8% (oil) +10% (gas)
bp	Expecting to grow production to 2.3-2.5mmboe/d "with capacity to increase to 2035"	2030	+4%
Cenovus	Aim to produce 805-845 kboe/d	2025	+6%
Chevron	Expecting ~6% CAGR for production	2024-26	+16%
CNOOC	Aiming to produce 810-830 mmboe annual production	2027	+21%
CNRL	Targeting between 1,510 mboe/d and 1,555 mboe/d of production	2025	+15%
ConocoPhillips	Aiming for >2.5 mmboe/d of production	2029-32	+37%
Coterra	0-5% annual growth in total oil and gas production and 5%+ annual growth in oil production	2024-26	+5% (total) +24% (oil)
Devon	Expecting to produce ~800 kboe/d	2025	+22%
Eni	3-4% underlying CAGR for total production	2030	+27%
EOG	Aiming to produce ~1122 kboe/d total volumes, of which ~505 kbo/d oil and condensate	2025	+14% (total) +6% (oil)
EQT	Aiming to produce 2175-2275 bcfe	2025	+10%
Equinor	Expecting 10%+ oil and gas production growth 2024 – 2027, with production of ~2.2 mmboe/d in 2030	2030	+6%
Expand Energy	Expecting ~7.1 bcfe/d total production with a further ~300 mmcfe/d of productive capacity	2026	+6%
ExxonMobil	Increasing Upstream production to 5.4 mmboe/d	2030	+23%
Harbour Energy	Expecting production to average ~450 kboe/d	2025-27	-5%
KPC	Targeting 4.0 mmbbl/d of crude oil production, 2.0 bscf/d of non-associated gas	2035 (oil) 2040 (gas)	+38% (oil) +233% (gas)
Ovintiv	Expecting to deliver production volumes of 595-615 kboe/d	2025	+7%
Occidental	Expecting 1385-1445 kboe/d total production	2025	+16%
PEMEX	Production of liquid hydrocarbons projected to "remain on a platform" of 1.8 mmbld/d, with gas production increasing to 5 bscf/d	2030	-4% (liquids) +1% (gas)
Petrobras	Aiming to produce 3.2 mmboe/d by 2028, holding flat in 2029	2028-29	+15%
PetroChina	Planning for 1,826.6 mmboe annual production	2025	+4%
PETRONAS	Aiming to increase Malaysia's oil and gas production to 2 mmboe/d by 2025 and beyond	2025	+15%
QatarEnergy	Aiming to increase LNG production by 85% to 142 mpta	2031	+84%
Repsol	Aiming to produce 550-600 kboe/d for the remainder of the decade	2025-30	-4%
Saudi Aramco	Maintaining crude oil maximum sustainable capacity (MSC) at 12 mmboe/d, and aiming for >50% increase in gas production	N/A (oil) 2030 (gas)	0% (oil) +42% (gas)

Shell	Keeping production of crude oil and natural gas liquids stable at 1.4 mmbbl/d, growing LNG sales by 4-5% annually, with total oil and gas production rising by 1% annually	2030	-4% (liquids) +28% (LNG) +8% (total)
Sonatrach	Aiming to increase annual gas production from 130 to 160 bcm, and expecting 20 bcm of unconventional gas production by 2030 and 70 bcm by 2040	2060 (total gas) 2030-40 (unconventional gas)	+23% (total gas)
Suncor	Aiming for 810-840 kboe/d total production	2025	+11%
TotalEnergies	Planning to grow oil & gas production by 3% per year	2030	+17%

Notes: Production % changes calculated by CTI using companies' reported production figures as of 31/3/25. Where the target is expressed as a range, the midpoint has been used. Processing capacity was used for ADNOC's gas production baseline because the company does not appear to disclose the latter; QatarEnergy's baseline is for LNG production capacity because the company does not appear to disclose LNG production itself; Sonatrach does not appear to disclose its current unconventional gas production volumes; the 2023 baseline for ExxonMobil includes Pioneer's production in that year; we use production data from 2024Q3 for Expand Energy's baseline and September 2023 for Harbour Energy's because these are the earliest available data points for the two companies since Chesapeake acquired Southwestern and Harbour acquired Wintershall Dea, respectively; KPC's 2023 oil production baseline is from comments made by the CEO in October 2023; Shell's LNG target is for sales as it does not appear to have a liquefaction target.

5.4 Greenhouse gas emissions targets

This metric scores companies based on the extent of their overall greenhouse gas emissions targets (see Box 2).

Eni scores highest, with a 3, as a result of having an emissions target that meets all three of our "Hallmarks" that relate to overall GHGs. It misses out on a 4 for relying on emissions reduction strategies of questionable credibility, such as asset divestments; carbon capture, utilisation and storage (CCUS); and nature-based solutions (NBS). Several European and North American listed companies are awarded 2s and 1s for meeting some but not all of the Hallmarks – and rely on similarly questionable emissions reduction strategies as Eni, to varying degrees.

The majority of companies, however, score only a 0 for this metric, including all of the newly added companies this year: both NOCs and listed US and UK producers Ovintiv and Harbour. This reflects the **continued lack of targets covering scope 3 emissions:** these are produced at the point of use and account for the vast majority of lifecycle oil and gas emissions. No changes to scoring have occurred since last year for companies that were assessed.

Financial institutions committed to climate goals or Paris alignment must assess whether to engage with or continue financing companies that remain misaligned, especially those failing to strengthen their emissions targets over time.

Box 2. Hallmarks of Paris-aligned Emissions Targets

Oil and gas company emissions targets should satisfy the following four *Hallmarks*, at a minimum, to *potentially* be considered Paris-aligned:

1. Cover full lifecycle GHG emissions, including scope 1, 2, and end-use 3 emissions
2. Target net-zero GHG emissions by 2050, with interim absolute reductions, across full lifecycle emissions
3. Cover GHG emissions from production and global product sales on a full equity share basis (including Downstream product sales produced using third-party crude)
4. Target near-zero methane by 2030 on a full equity share basis across Upstream activities, as well as Midstream gas assets where applicable

5.5 Methane emissions targets

Our newly added metric on methane emissions scores companies based on the extent to which they fulfil our Hallmark 4, listed above, as well as their progress in directly measuring all of their emissions. The latter is assessed by the UN-backed Oil and Gas Methane Partnership (OGMP) 2.0, which seeks to address the sector-wide underestimating of methane emissions caused by reliance on generic “emission factors” – a topic we discuss in more detail in [Absolute Impact 2024](#).

Companies typically score higher on methane than overall GHGs, gaining more 2s and fewer 0s. NOCs in particular perform better here, reflecting the growing momentum to reduce methane emissions to “near zero” in the near term, as promoted by initiatives such as the Oil and Gas Decarbonization Charter, launched at COP28 in Dubai. It also underscores the feasibility of addressing these operational emissions without a producer fundamentally needing to change its business model (unlike with scope 3 GHG emissions).

Despite this progress, companies are still a significant way from Paris alignment for several reasons. First, because targets are almost exclusively limited to operated assets, overlooking the significant proportion of production stemming from non-operated assets. Second, some companies overlook their Midstream gas assets, despite the contribution these make to the sector’s methane emissions. Third, most companies are not meeting the “Gold Standard” requirements under OGMP 2.0 and are thus likely to be underestimating their methane footprint.

5.6 Executive remuneration

The scores for executive remuneration have remained broadly similar to last year, with companies **continuing to reward production growth through direct or indirect growth incentives** included in executives’ variable pay. Occidental is the only company to score a 3 as a result of having no growth incentives, but misses out on a 4 through its lack of incentive for emissions reductions in line with its target.

Four European and North American producers receive a 2, with the remainder of companies receiving either a 1 or zero. All NOCs score a zero because of not disclosing the composition of their executive remuneration.

Since Paris Maligned II, direct growth incentives have fallen as a share of variable pay, but this has been mirrored by a concurrent increase in indirect growth incentives, meaning the combined share has remained largely unchanged. [See Crude Intentions III.](#)

5.7 Combined alignment

Bringing together the results from all six metrics, our analysis finds **all producers assessed remain far from Paris-aligned, with many moving in the wrong direction (Table 4)**. None receive higher than a D grade and none receive high scores (a 3 or 4) for more than one of the six metrics. While some scores have improved in the past year, overall there has been backsliding, particularly around oil and gas production plans (see Section 5.3).

Spanish-listed producer Repsol takes the top spot this year, kicking UK-headquartered major bp off its pedestal, following the latter's decision to abandon its target to curb production. Four companies share the last position: US major ConocoPhillips, alongside three newly added national oil companies (NOCs) – KPC, PEMEX, and Sonatrach.

Europeans lead the pack, with Americans and NOCs trailing behind

Listed companies based in Europe fare best, securing seven of the top 10 places. US giant ExxonMobil sits near the bottom alongside ConocoPhillips as the two worst-performing investor-owned producers.

All of the six NOCs we added to our company universe this year performed poorly, almost exclusively scoring zero for three of our metrics: production plans, greenhouse gas emission targets and executive remuneration. This follows a broader trend among NOCs in general, though some exceptions exist: namely Norwegian majority state-owned producer Equinor, and to a lesser extent Saudi Aramco.

Two further additions to our universe produce contrasting results: UK-based Harbour does comparatively well while US shale driller Ovintiv sits towards the bottom of the table.

Companies exhibit a mix of strengths and weaknesses

While several producers score well on one particular metric, they typically perform poorly on the others. This is the case for producers that do not appear to have approved any new projects recently, such as Suncor and Devon, although, in the case of shale producers, this may in part be a function of our ability to distinguish standalone “new projects” from the well-by-well nature of shale developments.

Other examples include Occidental, which has the highest score on remuneration, thanks to its lack of production growth metrics, and PEMEX, which does comparatively well on production plans but receives zeroes for the remaining metrics. By contrast, Repsol scores comparatively well on most metrics but falls on remuneration.

TABLE 1. HOLISTIC ASSESSMENT OF OIL AND GAS PRODUCERS' CLIMATE ALIGNMENT

Company	Individual Unweighted Scores (all out of 4)						Overall Grade
	Investment Options	Recent Sanctions	Production Plans	GHG Targets	Methane Targets	Executive Remuneration	
Repsol	2	2	3	2	2	1	D
Harbour Energy	2	2	3	0	1	1	E
EQT	2	4*	1	0	2	2	E
Eni	2	1	0	3	2	1	E
Expand Energy	2	4*	1	0	2	1	F
Shell	2	2	0	1	2	2	F
TotalEnergies	2	1	0	2	2	1	F
bp	2	0	0	2	2	1	F
Equinor	2	1	0	1	2	2	F
CNRL	2	3	1	0	0	1	F
Cenovus	1	4*	1	0	1	1	F
Chevron	1	1	1	1	2	1	F
Occidental	0	1	1	1	2	3	F
Saudi Aramco	3	2	0	0	1	0	F
Suncor	0	4*	1	1	0	2	F
Devon Energy	1	4*	1	0	0	1	G
PetroChina	2	1	1	0	1	0	G
CNOOC	2	2	1	0	0	0	G
Coterra	2	0	1	0	1	1	G
EOG	2	1	1	0	0	1	G
ADNOC	2	2	0	0	2	0	G
Ovintiv	0	4*	1	0	1	1	G
Petronas	2	1	1	0	0	0	G
Petrobras	0	3	1	0	2	0	G
Qatar Energy	2	1	0	0	1	0	G
ExxonMobil	1	2	0	0	1	1	G
ConocoPhillips	0	2	0	0	2	1	H
KPC	2	0	0	0	0	0	H
Sonatrach	2	0	0	0	0	0	H
PEMEX	0	0	2	0	0	0	H
Weight	25%	10%	25%	20%	10%	10%	-

Sources: company reporting, CTI analysis, IEA, Rystad Energy.

Notes: we assess production plans as of 6/3/25, GHG and methane emissions targets as of October 2024, OGMP 2.0 methane measurement assessments as of November 2024, and remuneration policies for 2023. Rystad data as of September 2024.

Companies graded from 0 (worst) to 4 (best) on each metric. * denotes companies for which no recent sanctions were identified, so were scored a 4. Companies ordered by combined scores; those with the same score are ordered alphabetically. We do not currently assess the credibility of GHG emissions reduction in our methodology and therefore the top score is a 3. We note, however, significant shortcomings in the credibility of emissions reduction plans of higher-scoring companies related to the use of offsets, CCUS, and NBS, and the commercial viability of these. See Appendix for full methodology.

While we have incorporated what we view as the key metrics in determining companies' alignment with the Paris Agreement in our scoring table above, these are not the only factors to consider. Others include their exploration plans, stated capex plans, lobbying activities, production lifetime of assets, and asset sales (see Box 3).

BOX 3. OTHER FACTORS RELEVANT FOR ASSESSING PARIS ALIGNMENT

- **Exploration plans:** Given the IEA's stipulation that virtually no new oil and gas fields are possible in a 1.5°C scenario, investors seeking 1.5°C alignment should scrutinise company plans to continue frontier exploration¹² which could be viewed as an indication that a company intends to expand production.
- **Capex on existing vs new projects:** the ratio between investment on new and existing projects can give insight into a company's production and development strategy, and the extent to which it intends to pursue new projects.
- **Lobbying:** lobbying efforts by companies and their industry alliances and associates could undermine climate-related regulations and policies. Investors should engage with companies on how it justifies lobbying activities that could hinder the achievement of Paris goals.¹³
- **Lifetime of assets:** companies with a higher proportion of short-cycle (shale) assets enjoy more flexibility and may result in less oil and gas infrastructure lock-in. However, this must be weighed against operational emissions, principally methane, given the high methane footprint of onshore production in the US.
- **Asset sales:** companies' decisions on whether to divest assets, and to whom, can have a significant effect on emissions, which will rise if an asset is sold to a less responsible operator. This topic is covered in our [Responsible Exit Principles for Oil and Gas Companies](#) report.

5.8 Considerations for Stakeholders

The findings in this report provide a framework for investors, financial institutions, policymakers, and civil society to assess oil and gas producers' real-world alignment with climate goals. While corporate pledges and climate strategies are widely publicised, true alignment is demonstrated through the metrics we assess, including capital allocation, production plans, and executive incentives. Below we outline how different stakeholders can use this analysis to drive accountability, mitigate risk, and push for meaningful change.

- Responsible investment and stewardship teams:** to inform asset allocation decisions, particularly within "sustainable" financial products, and to inform proxy voting
 - Our scoring methodologies outline what best practice looks like in each of the included metrics, aiding engagement with companies
 - Our analysis highlights where reputational risk is highest for different producers
- Banks and insurers with net zero commitments:** to assess clients' Paris alignment, in the screening process and when developing lending policies
- Mainstream investors with no climate mandate:** to serve as a proxy for transition risk exposure

¹² Frontier exploration generally refers to exploration plays in areas in which there are few or no existing productive facilities. These regions are often remote and present operational challenges; a significant proportion of current frontier exploration is being done in Africa.

¹³ The lobbying practices of the companies' analysed in this report are available in Carbon Tracker's [company profiles](#).

- D) **Civil society and policymakers:** to support efforts to hold companies accountable, for instance in challenging misleading advertising practices

Key engagement questions:

- What plans does the company have to increase its score on metrics where it performs poorly?
- How does the company square its stated climate targets and net zero commitments with the misalignments highlighted here?
- How does the company justify the continued use of production growth metrics in its executive remuneration policies?
- How does the company justify sanctioning new projects that would be misaligned with Paris-aligned or business-as-usual scenarios?
- What strategy will the company use to achieve its emission reduction targets? Is it credible?

6 Appendix

6.1 Company universe

Our universe mirrors that used in [Absolute Impact 2024](#) and [Crude Intentions III](#). It consists of 30 of the largest producers, including 20 majority publicly traded or privately owned companies, 5 majority state-owned companies, and 5 wholly state-owned companies. Producers based in countries subject to international sanctions (Russia, Iran, Venezuela) are not assessed.

6.2 Metrics

6.2.1 Investment options

Analysis: For a full description of the least-cost modelling which underpins the analysis of investment options presented here, see [Carbon Tracker's Oil and Gas Least-Cost Methodology](#).

Data: Asset-level data is sourced from Rystad Energy's UCube datasets from September 2024. Oil and gas demand scenarios used are from the IEA's World Energy Outlook 2024 [extended dataset](#).

Scoring methodology:

Alignment of Investment Options		Weight	25%
Compatibility of the company's potential future investment on new upstream oil and gas projects with a Paris-aligned pathway.			
Score			
4	100% of potential future upstream capex is assessed to be not incompatible with the NZE (1.5°C), or portfolio contains no projects		
3	100% of potential future upstream capex is assessed to be not incompatible with the APS (1.7°C)		
2	More than 50% of potential future upstream capex is assessed to be not incompatible with the APS (1.7°C)		
1	More than 25% of potential future upstream capex is assessed to be not incompatible with the APS (1.7°C)		
0	Less than 25% of potential future upstream capex is assessed to be not incompatible with the APS (1.7°C)		
Notes	This metric is in line with Indicator 2 of the CA100+ O&G Alignment assessments. 'Future investment' refers to unsanctioned investments (in terms of capital expenditure) in the 2030s		

6.2.2 Recent sanctions

Analysis: For a full description of the least-cost modelling which underpins the analysis on recent sanctions presented here, see [Carbon Tracker's Oil and Gas Least-Cost Methodology](#).

Data: Asset-level data is sourced from Rystad Energy's UCube datasets from September 2024. Oil and gas demand scenarios used are from the IEA's World Energy Outlook 2024 [extended dataset](#).

Scoring methodology:

Alignment of Recent Project Sanctions	Weight	10%
---------------------------------------	--------	-----

Compatibility of the company's recent upstream oil and gas investments (capex) with a Paris-aligned pathway.	
Score	
4	Recent upstream oil and gas investment (capex) is not incompatible with NZE (1.5°C), or no projects have been sanctioned.
3	Recent upstream oil and gas investment (capex) is not incompatible with APS (1.7°C).
2	More than 50% of recent upstream oil and gas investment (capex) is not incompatible with APS (1.7°C)
1	More than 25% of recent upstream oil and gas investment (capex) is not incompatible with APS (1.7°C)
0	Less than 25% of recent upstream oil and gas investment (capex) is not incompatible with APS (1.7°C)
Notes	
	This metric is in line with Indicator 1 of the CA100+ O&G Alignment assessments. 'Recent' refers to projects sanctioned in 2023 or before September 2024. If no recent investments were identified, companies were scored a 4.

6.2.3 Production plans

Analysis: Percentage changes were calculated using companies' 2023 production as a baseline, except for mergers & acquisitions where this was not possible.

Data: Targets and production figures were taken from corporate disclosures, such as annual reports and company web pages. Sources can be found in the table below.

Company	Production Guidance Source	2023 Production Figure Source
ADNOC	Oil: ADNOC Strategy [accessed 15/01/24] Gas: ADNOC Unconventional Gas [accessed 15/01/24]	Reuters 2024 coverage of oil production capacity ADNOC Gas [Accessed 15/01/24]
bp	bp Press Release 2024	bp Annual Report 2023
Cenovus	Cenovus 2025 Corporate Guidance	Cenovus FY 2023 Results
Chevron	Chevron 2025 Investor Presentation	Chevron 2023 Annual Report
CNOOC	CNOOC 2025 Strategy Preview	CNOOC 2023 Annual Report
CNRL	CNRL 2025 Press Release	CNRL 2023 Q4 Results
ConocoPhillips	ConocoPhillips 2023 Analyst and Investor Meeting	ConocoPhillips 2024 Fact Sheet
Coterra Energy	Coterra 3Q24 Earnings Presentation	Coterra 3Q24 Earnings Presentation
Devon	Devon Q3 2024 Earnings Presentation	Devon 2023 Form 10-K
Eni	Eni 2025 Capital Markets Update	Eni FY 2023 Results
EOG Resources	EOG FY 2025 Guidance	EOG 3Q24 Results
EQT Corporation	EQT FY 2024 Results	EQT 2023 Form 10-K
Equinor	Equinor FY 2024 Results	Equinor 2023 Annual Report
Expand Energy	Expand Energy FY 2024 Results	Expand Energy 3Q 2024 Earnings
ExxonMobil	ExxonMobil Corporate Plan to 2030	ExxonMobil 2023 Results
Harbour Energy	Harbour Energy 2025 Capital Markets Update	Harbour Energy 2024 Press Release
KPC	KPC Strategy 2040	Oil: Reuters 2023 Coverage of KPC CEO Comments Gas: Times Kuwait 2024 Coverage
Ovintiv	Ovintiv FY 2024 Results	Ovintiv 2023 Annual Report
Occidental	Occidental 4Q24 Earnings	Occidental 2023 Annual Report
PEMEX	PEMEX 2024 Strategy	Q4 2023 Results
Petrobras	Petrobras Strategic Plan 2050	Petrobras 2023 Annual Report
PetroChina	PetroChina 2024 Annual Report	PetroChina 2023 Annual Report
PETRONAS	PETRONAS Activity Outlook 2024-2026	PETRONAS Activity Outlook 2024-2026
QatarEnergy	QatarEnergy LNG webpage	QatarEnergy 2023 Annual Report
Repsol	Repsol 2024 Management Report	Repsol 2023 Annual Report
Saudi Aramco	Oil: Saudi Aramco 2024 Press Release Gas: Saudi Aramco Gas Production Webpage	Saudi Aramco FY 2023 Results
Shell	Shell 2025 Capital Markets Day	Shell 2023 Annual Report

Sonatrach	Total gas: Algeria Invest 2024 Coverage of CEO Comments Unconventional gas: Sonatrach Vision 2030	Algeria Invest 2024 Coverage of CEO Comments
Suncor Energy	Suncor 2025 Corporate Guidance	Suncor 2023 Annual Report
TotalEnergies	TotalEnergies 2025 Objectives	TotalEnergies FY 2023 Results

Scoring methodology:

Alignment of Production Plans		Weight	25%
Level of production targeted in the short- and long term.			
Score			
4	Targeting a significant decline in the long term and decline in the short term.		
3	Long term target not disclosed but targeting reduction in short term OR Targeting flat production in the short term and a long-term reduction.		
2	Targeting flat production in the short or long term.		
1	Long-term targets are not disclosed and targeting short term growth OR no forward guidance disclosed.		
0	Company is targeting long-term growth.		
Notes			
“Long-term” refers to targets for 2030 or later. Targets evaluated based on the change in volumes vs 2023 level.			

6.2.4 Greenhouse gas emissions targets

Analysis: To assess company emissions targets, we reviewed all company goals and chose the target which most fulfils our *Hallmarks of Paris-aligned Emissions Targets*. We then classified targets by band, based on whether they include scope 3 emissions, target net-zero lifecycle emissions, and are set on an absolute basis. Targets are then ranked within the bands based on the extent to which Hallmark 3 is met and the pace of reduction. For further details, see Carbon Tracker’s [Absolute Impact 2024](#).

Data: Targets are sourced from company reporting; for a complete list of sources, see [Absolute Impact 2024](#).

Results:

FIGURE 3. COMPARISON OF COMPANY CLIMATE GOALS, SELECTED PER CTI METHODOLOGY

Rank	Company	Hallmark 1	Hallmark 2		Hallmark 3		Hallmark 4 ⁸			Scale		Potentially Paris-aligned
		Scope 3 emissions	Scope 1, 2, 3 net zero	2030 absolute goal	Full equity share	3rd-party crude	Near zero by 2030	Full equity share	Mid-stream gas	2030 absolute GHG reduction	Scope 1 & 2 net zero year	
1	Eni	Yes	Yes	Yes	Yes	Yes	Yes	-	-	35%	2050	-
2	TotalEnergies ¹	Yes	Yes	Yes	Partial ²	Yes	Yes	-	Yes	~6.2%	2050	-
3	Repsol	Yes	Yes	Yes	Partial ²	-	Yes	-	-	30%	2050	-
4	bp ¹	Yes	Yes	Yes	Partial ²	-	Yes	-	-	~23.9%-32.6%	2050	-
5	Shell	Yes	Yes	-	Yes	Yes	Yes	-	Yes	-	2050	-
6	Equinor	Yes	Yes	-	Partial ²	-	Yes	-	Yes	-	2050	-
7	Oxy	Yes	Yes	-	-	n/a	Yes	-	-	-	2050	-
	Suncor ⁷	Yes	-	Yes	Yes	-	-	-	n/a	10 MtCO ₂ e/y	-	-
8	Chevron	Yes	-	-	Yes	Yes	Yes	Yes	-	-	-	-
	Cenovus ⁷	-	-	-	Yes	n/a	Yes	-	n/a	-	2050	-
9	Conoco	-	-	-	Yes	n/a	Yes	-	-	-	2050	-
=10	Harbour	-	-	-	-	-	Yes	-	-	-	2030	-
=10	Expand	-	-	-	-	n/a	Yes	-	Yes	-	2035	-
12	EOG	-	-	-	-	n/a	Partial ³	-	n/a	-	2040	-
13	Petrobras	-	-	-	-	-	Yes	-	-	-	2050	-
14	PETRONAS	-	-	-	-	-	Partial ³	-	Yes	-	2050	-
	CNRL ⁷	-	-	-	-	n/a	-	-	n/a	-	2050	-
15	Devon	-	-	-	-	n/a	-	-	-	-	2050	-
16	Pemex	-	-	-	-	-	-	-	-	-	2050	-
17	ADNOC	-	-	-	-	-	Yes	-	Yes	-	2045	-
18	ExxonMobil	-	-	-	-	-	Yes	-	Yes	-	2050	-
19	Ovintiv	-	-	-	-	n/a	Yes	-	n/a	-	-	-
20	PetroChina	-	-	-	-	-	Yes	-	-	-	2050	-
21	QatarEnergy	-	-	-	-	-	Yes	-	Yes	-	-	-
22	Coterra	-	-	-	-	n/a	Yes	-	-	-	-	-
23	CNOOC	-	-	-	- ⁴	n/a	Partial ³	-	n/a	-	-	-
24	EQT	-	-	-	- ⁵	n/a	Yes	-	-	-	2025	-
25	SaudiAramco	-	-	-	- ^{4,6}	-	Yes	-	-	-	2050	-
26	KPC	-	-	-	- ⁶	-	-	-	-	-	2050	-
27	Sonatrach	-	-	-	-	-	-	-	-	-	-	-

Sources: Company disclosures, Carbon Tracker analysis; chart originally published in [Absolute Impact 2024](#)

Notes: ¹ Operational and scope 3 goals are merged for TotalEnergies and bp for a fair comparison. ² Partial equity share basis indicates operational goals on an operated-asset basis and scope 3 goals on full equity share basis. ³ Partial near-zero methane indicates the methane target covers some (but not all) of the company's operated production. ⁴ CNOOC's and Saudi Aramco's goals are measured against BAU scenarios; therefore, they are not absolute. ⁵ EQT's goals exclude assets acquired after 30 June 2021. ⁶ Saudi Aramco's and KPC's goals only cover wholly owned/operated assets. ⁷ The Canadian companies are greyed out, as it cannot be determined whether they have Paris-aligned emissions targets (they have removed disclosures of their emissions targets from their websites but may potentially continue to work towards their previously disclosed targets internally). ⁸ Hallmark 4 assesses methane-specific goals, in contrast to Hallmarks 1-3, which assess overall GHG goals.

Scoring methodology:

Alignment of GHG Emissions Targets		Weight	20%
Alignment of a company's primary greenhouse gas emissions target with the first three Hallmarks of Paris Aligned Emissions Targets (Box 2)			
Score			
4	Target meets all three Hallmarks, and the company has outlined a credible plan to deliver reductions.		
3	Target meets Hallmarks 1 and 2		
2	Target meets Hallmark 1 and targets net zero by 2050		
1	Target meets Hallmark 1		
0	Target meets no Hallmarks		
Notes			
Details of which company targets are evaluated are available in Absolute Impact 2024 . While we do not currently assess the credibility of all companies' emissions reduction strategies, we note significant shortcomings in the credibility of those which have scored above a zero, related to the use of offsets, CCUS, and NBS, and the commercial, technical and environmental viability of these approaches.			

6.2.5 Methane emissions targets

Analysis: For a full description of the *Hallmarks of Paris-aligned Emissions Targets* which underpin the analysis presented here, see Carbon Tracker's [Absolute Impact 2024](#).

Data: Targets are sourced from company reporting; for a complete list of sources, see [Absolute Impact 2024](#). OGMP 2.0 assessments are sourced from the programme's [2024 company factsheets](#), published in November 2024.

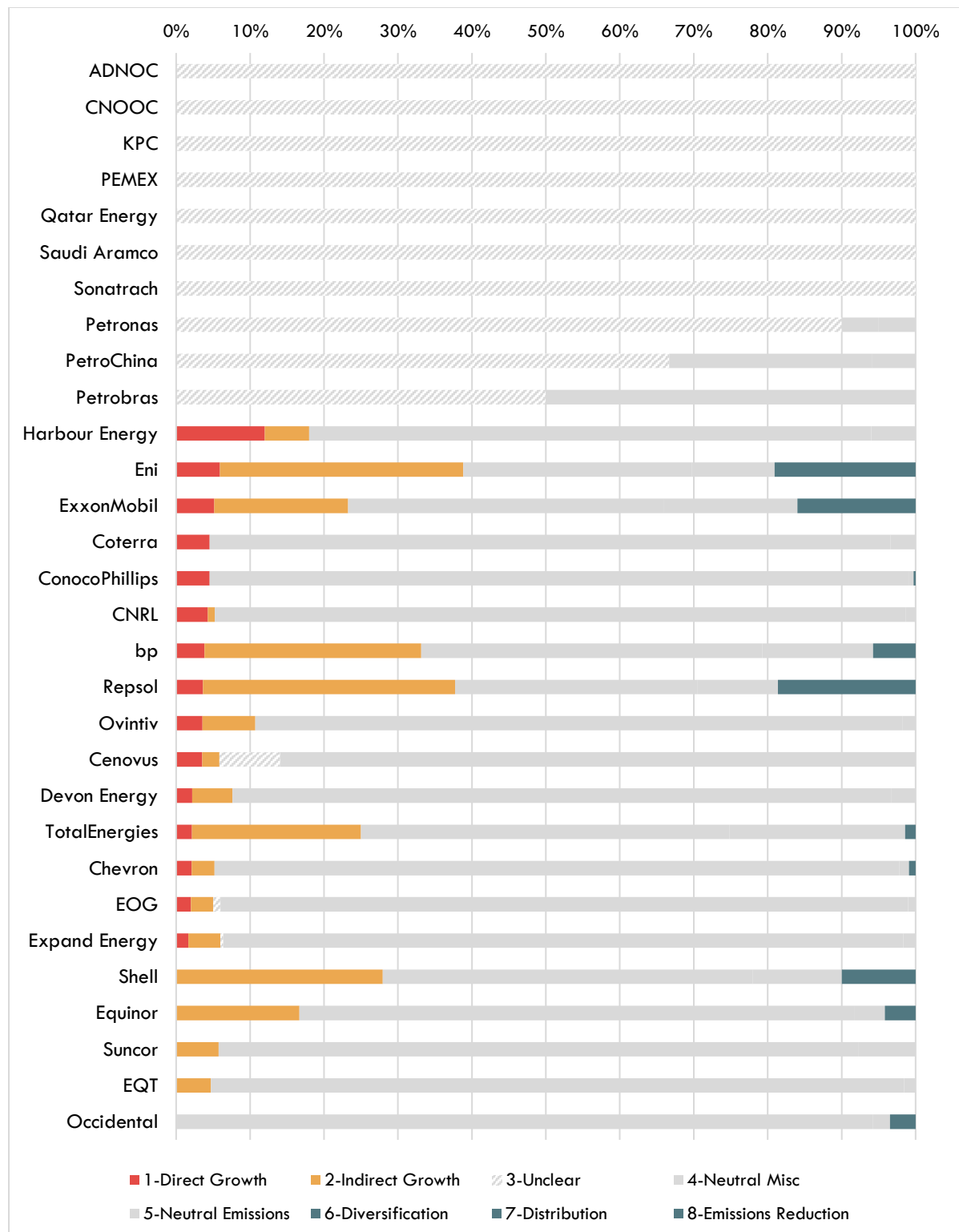
Scoring methodology:

Alignment of Methane Emissions Targets		Weight	10%
Alignment of a company's methane emissions target with the fourth Hallmark of Paris-aligned Emissions Targets (Box 2), and OGMP 2.0 assessment.			
Score			
4	Meets all Hallmark components (including Midstream gas if applicable) and is on OGMP 2.0 Gold Standard Reporting.		
3	Meets first and second component and is on OGMP 2.0 Gold Standard Pathway or Reporting.		
2	Meets first component and EITHER a) second component OR b) is on Gold Standard Pathway or Reporting.		
1	Meets first component.		
0	Meets no components.		
Notes			
	If a company does not have Midstream gas assets and is on OGMP Gold Standard Reporting, it will score a 4.		

6.2.6 *Executive remuneration*

Analysis: Our analysis focuses on the variable component of executive remuneration policies (short- and long-term incentive plans). We analyse the targets set for executives to determine their compensation, weigh them, and group them into one of four categories: i) Direct growth metrics; ii) Indirect growth metrics; iii) Growth neutral metrics; and iv) Transition response metrics. See [Crude Intentions III](#) for a full discussion of the assessment methodology and a detailed description of the categories.

Data: Remuneration policies are sourced from company reporting; for a complete list of sources, see [Crude Intentions III](#).

Results:**FIGURE 4. EXECUTIVE TARGET VARIABLE PAY (WITH CONDITIONS) BY METRIC TYPE (2023)**

Source: Corporate disclosures, CTI analysis. Chart originally published in [Crude Intentions III](#).

Notes: Companies are sorted by the relative share of direct growth metrics and then by the share of indirect growth metrics. Companies where unclear/undisclosed metrics made up 50% or more of the total are placed at the top of the chart.

Scoring methodology:

Remuneration Incentives		Weight	10%
	Alignment based on the prevalence of production growth targets in executive remuneration policies.		
Score			
4	Incentive plans do not contain direct or indirect growth metrics and must include emissions reduction incentives that are of the same scale and ambition as the company's wider emission targets.		
3	Incentive plans do not contain direct or indirect growth metrics and if they include emissions reduction targets, they are not of the same scale and ambition as the company's wider emission targets.		
2	Incentive plans do not contain direct growth metrics, but include indirect growth metrics		
1	Incentive plans contain direct growth metrics		
0	Metrics are insufficiently disclosed to evaluate (≥50% undisclosed)		
Notes			
	Details of which company targets are evaluated are available in Crude Intentions III		

6.3 Grade Assignments

Combined Alignment Score	Grade
>3.5	A
>3.0	B
>2.5	C
>2.0	D
>1.5	E
>1.0	F
>0.5	G
0-0.5	H

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